

would have an uphill battle given the foothold bitcoin has gained.

On the other hand, a newly launched cryptoasset is little known, making the community supporting it much more fragile. If a major flaw is exposed, or the cryptoasset undergoes some other form of duress, the community may quickly disperse. Many members may move to support other cryptoassets, while others may try again, launching a slightly altered cryptoasset, applying the lessons learned. In other words, with a new cryptoasset there is much less sunk cost, which makes it easier for people to let go and move on to something else. For a great example of how quickly a new cryptoasset can rise and fall, recall what happened with The DAO.

However, if a cryptoasset has strong community engagement and achieves success early on, it can create a solid foothold that can benefit it over time. Ethereum seems to be a good example. The demise of The DAO significantly impacted Ethereum (which The DAO was built on), but through leadership and community involvement, the major issues were addressed, and as of April 2017 Ethereum stands solidly as the second largest cryptoasset in terms of network value.⁸

UNDERSTANDING A CRYPTOASSET'S VALUATION